

ECONOMETRICS OF COMMODITY AND ASSET PRICING

(Alain Monfort – Fulvio Pegoraro – Jean-Paul Renne)

ARTICLES

1. **Adrian, T., Crump R. K., Moench E.** : "Pricing the Term Structure with Linear Regressions", *Journal of Financial Economics*, 2013, 110, 1, 110-138.
2. **Ang A., Boivin J., Dong, S., Loo-Kung R.** : "Monetary Policy Shifts and the Term Structure", *The Review of Economic Studies*, 2011, 78, 2, 429-457.
3. **Ang A., Piazzesi M., Wei M.** : "What Does the Yield Curve Tell us About GDP Growth", *Journal of Econometrics*, 2006, 131, 359-403.
4. **Ang A., Piazzesi M.** : "A No-arbitrage Vector Autoregression of Term Structure Dynamics with Macroeconomic and Latent Variables", *Journal of Monetary Economics*, 2003, 50, 745-787.
5. **Babaoglu, K., Christoffersen, P., Heston, S., Jacobs, K.** : "Option Valuation with Volatility Components, Fat Tails, and Non-Monotonic Pricing Kernels", *Review of Asset Pricing Studies*, 2018, 8, 183-231.
6. **Bauer, M., Rudebusch, G., Wu, C.** : "Correcting Estimation Bias in Dynamic Term Structure Models", *Journal of Business and Economic Statistics*, 2012, 30, 454-467.
7. **Chernov, M., Mueller, P.** : "The Term Structure of Inflation Expectations", *Journal of Financial Economics*, 2012, 106, 367-394.
8. **Christoffersen, P., Elkamhi, R., Feunou, B., Jacobs, K.** : "Option Valuation with Conditional Heteroskedasticity and Nonnormality", *The Review of Financial Studies*, 2010, 23, 2140-2183.
9. **Christoffersen, P., Heston, S., Jacobs, K.** : "Option Valuation with Conditional Skewness", *Journal of Econometrics*, 2006, 131, 253-284.
10. **Christoffersen, P., Jacobs, K., Ornathanalai, C., Wang, Y.** : "Option valuation with long-run and short-run volatility components", *Journal of Financial Economics*, 2008, 90, 272-297.
11. **Dai Q., Singleton K., Yang W.** : "Regime Shifts in Dynamic Term Structure Models of U.S. Treasury bond yields", *The Review of Financial Studies*, 2007, 20, 5, 1669-1706.
12. **Dai Q., Le A., Singleton K.** : "Discrete-Time AffineQ Term Structure Models with Generalized Market Prices of Risk", *The Review of Financial Studies*, 2010, 23, 5, 2184-2227.
13. **Dubecq, S., Monfort, A., Renne, J.-P. and Roussellet G.** : "Credit and Liquidity in Interbank Rates: A Quadratic Approach", *Journal of Banking and Finance*, 2016, 68, 29-46.
14. **Duffee, G.** : "Information in (and not in) the Term Structure", *The Review of Financial Studies*, 2011, 24(9), 2895-2934.
15. **Giacoletti M., Laursen K. T., Singleton K.** : "Learning From Disagreement in the U.S. Treasury Bond Market", *The Journal of Finance*, 2021, 76, 1, 395-441.

16. **Gourieroux C., Monfort A.** : "Pricing with Splines", *Annals of Economics and Statistics*, 2006, 82, 3-33.
17. **Gourieroux C., Monfort A., Polimenis V.** : "Affine Model for Credit Risk Analysis", *Journal of Financial Econometrics*, 2006, 4, 3, 494-530.
18. **Gourieroux C., Monfort A., Renne J.-P.** : "Pricing Default Events : Surprise, Exogeneity and Contagion", *Journal of Econometrics*, 2014, 182, 2, 397-411.
19. **Gourieroux C., Monfort A., Sufana R.** : "International Money and Stock Market Contingent Claims", *Journal of International Money and Finance*, 2010, 29, 1727-1751.
20. **Gourieroux C., Sufana R.** : "Discrete time Wishart Term Structure Models", *Journal of Economic Dynamics and Control*, 2011, 06, 815-824.
21. **Hamilton, J. D., Wu C.** : "Identification and Estimation of Gaussian Affine Term Structure Models", *Journal of Econometrics*, 2012, 168, 2, 315-331.
22. **Hamilton, J. D., Wu C.** : "Testable Implications of Affine Term Structure Models", *Journal of Econometrics*, 2014, 178, 231-242.
23. **Han, H., Khrapov, S., Renault, E.** : "The leverage effect puzzle revisited : Identification in discrete time", *The Journal of Econometrics*, 2020, 217, 230-258.
24. **Heston, S., Nandi S.** : "A Closed-Form GARCH Option Valuation Model", *The Review of Financial Studies*, 2000, 13, 585-626.
25. **Jardet C., Monfort A., Pegoraro F.** : "No-Arbitrage Near Cointegrated VAR(p) Term Structure Model, Term Premia and GDP Growth", *Journal of Banking and Finance*, 2013, 37, 389-402.
26. **Joslin S., Le A., Singleton K.** : "Why Gaussian Macro-Finance Term Structure Models Are (Nearly) Unconstrained Factor-VARs", *The Journal of Financial Economics*, 2013, 109, 3, 604-622.
27. **Joslin S., Le A., Singleton K.** : "Gaussian Macro-Finance Term Structure Models with Lags", *The Journal of Financial Econometrics*, 2013, 11, 4, 581-609.
28. **Joslin S., Le A.** : "Interest Rate Volatility and No Arbitrage Term Structure Models", *Management Science*, 2020, forthcoming.
29. **Joslin S., Priebisch M., Singleton K.** : "Risk Premiums in Dynamic Term Structure Models with Unspanned Macro Risks", *The Journal of Finance*, 2014, 69, 3, 1197-1233.
30. **Kim D. H., Orphanides A.** : "Term Structure estimation with survey data on interest rate forecasts", *Journal of Financial and Quantitative Analysis*, 2012, 47, 241-272.
31. **Moench, E.** : "Forecasting the Yield Curve in a Data-Rich Environment: A No-Arbitrage Factor-Augmented VAR Approach", *Journal of Econometrics*, 2008, 146, 1, 26-43.

32. **Monfort A., Féron O.** : “Joint Econometric Modeling of Spot Electricity Prices, Forwards and Options”, *Review of Derivative Research*, 2012,15,217-256.
33. **Monfort, A., and Pegoraro, F.** : "Switching VARMA Term Structure Models", *Journal of Financial Econometrics*, 2007, 5(1), 105-153.
34. **Monfort A., Pegoraro F.** : “Asset Pricing with Second-Order Esscher Transforms”, *Journal of Banking and Finance*, 2012,1678-1687.
35. **Monfort A., Renne J.-P.** : Default, Liquidity and Crises : An Econometric Framework”, *Journal of Financial Econometrics*, 2013,11,2,221-262.
36. **Monfort A., Renne J.-P.** : “Decomposing the Euro area Spreads : Credit and Liquidity Risks”, *Review of Finance*, 2014, 18, 6, 2103-2151.
37. **Monfort A., Renne J.P., Roussellet G., Pegoraro F.** : “Staying at Zero with Affine Processes: An Application to Term Structure Modelling”, *Journal of Econometrics*, 2017, 201, 2, 348-366.
38. **Schwarz, E. S.** : “The Stochastic Behavior of Commodity Prices : Implications for Valuation and Hedging”, 1997, *The Journal of Finance*, L11, 3, 923-973.

ORGANIZATION

Groups of **one or two students** write the projects. They consist in writing (in french or in english) a text of 10-15 pages (maximum) linked to one of the 38 articles presented above. Each text will be divided in **three parts** :

- 1) A part summarizing the **state of the art** in the domain of interest before the publication of the article; this will imply the reading of some papers quoted in the bibliography of the paper.
- 2) A part presenting the main ideas and the main results of the paper. It is not recommended to just copy the technical parts of the paper. An effort of **intuitive synthesis** is required.
- 3) A part providing your personal opinion on the paper: what is interesting, what is unclear, what is missing, what should be developed. In other words, this part should be like a **referee report** on the paper.

Deadlines :

- **The choice of the article must be made by April 03, 2026 (email to pegoraro@ensae.fr).**
- **The pdf file of the project must be sent by April 17, 2026 (email to pegoraro@ensae.fr).**